

DISSENTING OPINION BY M. DE BUSTAMANTE.

[*Translation.*]

I.

According to the Special Agreement signed at Rio de Janeiro on August 27th, 1927, the Court is called upon to give judgment on the following question:

"With regard to the Brazilian Federal Government's 5 % loan of 1909 (Port of Pernambuco), 4 % loan of 1910, and 4 % loan of 1911, is payment of coupons which have matured and are not barred by prescription at this date, and coupons which shall mature, as also repayment of bonds drawn for redemption but not actually paid which are not barred by prescription on the date of the Court's decision, or of bonds subsequently to be redeemed, to be effected by delivery to the French holders, in respect of each franc, of the value corresponding, in the currency of the place of payment at the rate of exchange of the day, to one-twentieth of a gold piece weighing 6.45161 grammes of 900/1000 fineness, or in such payment or repayment to be effected as hitherto in paper francs, that is to say, in the French currency which is compulsory legal tender?"

II.

We must begin by noting certain facts which have an undeniable influence upon the questions to be considered, and their solution:

(a) The prospectus of the 5 % 1909 loan, under the heading "Payment of coupons", expressly states that the coupons are payable at Paris, in gold, at the rate of frs. 12.50, half-yearly, on February 1st and August 1st of each year, and at places abroad which are to be subsequently named, at the sight rate of exchange on Paris.

(b) No. 3 of the bonds of this loan states, in its turn, that interest is payable at Paris in gold and at Rio de Janeiro, London, Brussels, Amsterdam and Hamburg at the sight rate of exchange on Paris.

(c) The prospectus of the 4 % 1910 loan speaks of the payment of coupons at Paris in gold, at the rate of 10 francs

half-yearly, and in London and at Rio de Janeiro at the sight rate of exchange on Paris.

(d) The same meaning has also been attributed to paragraphs 2 and 4 of the bonds of this loan.

(e) The same applies in the case of the 4 % 1911 loan.

III.

There is therefore only one place where payments are to be made in the local currency, and that is Paris. It seems useless to discuss whether the theoretical or international gold franc, or the French gold franc, is meant. There are no payments in gold currency at Brussels or Geneva, but only at Paris, and when other places are mentioned, payment is to be based on the sight rate of exchange on Paris.

IV.

Now, leaving aside the question of gold value, let us simply observe the fact that at the time when the Brazilian loans were issued, there was no legal difficulty in speaking of the gold franc or in deciding that payments should be made in gold francs. There was no binding rule of French law or of Brazilian law to prevent it.

But while, on the one hand, gold francs might simply be spoken of for the purpose of payment, it would, on the other hand, be possible to take steps and make provision for fixing the meaning and scope of these words and to decide the course to be adopted, if the gold franc vanished from monetary circulation.

It was possible, for instance, to stipulate, and this is frequently done, that the payments must be effected in gold francs of the same weight and standard as that of the franc in circulation at the time in France or to take other precautions widely known in the business world and very often adopted where the intention of the Parties is to avoid indirectly the consequences of certain rules established by legal enactments of a local character.

V.

Let us now ask ourselves what is the law that governs the contractual stipulations we have just considered.

The contracts entered into between the Brazilian Government and the persons entrusted with the carrying-out of public works in Brazil (the contracts annexed to the written proceedings) are based on the assumption that the bonds of the loan will be received in payment by those persons for the work in question; but that only serves to emphasize once again that in the case we are now considering we are concerned with private contracts coming under rules of municipal law. Our task consequently consists of endeavouring in the first place to establish in agreement with the rules of private international law, what this municipal law is, and after that to apply to each hypothesis the rule of municipal law by which it is governed.

There is nothing in this task which does not come within the jurisdiction of the Court. In the case of some problems indubitably coming within the sphere of public international law, it often happens that no universal treaty or customary rule has been accepted or followed, and it becomes necessary to choose an international rule that has been followed and enforced by a single State as one of the principles of its municipal law. In other words, and in agreement with the generally accepted practice of Great Britain and the U.S.A., international law frequently forms a part of municipal law. We have observed these differences between the municipal laws of different countries last year in a case submitted to the Court and relating to a collision between a French ship and a Turkish ship.

When we have to endeavour to ascertain and apply a rule of private international law to a question arising between two States that have submitted the dispute to our decision, it may happen that with regard to the point at issue, the Parties have either accepted the same rule of private international law or, on the contrary, divergent rules. If the former is the case, the task of the Court is still more easy and simple.

Let us now see what is the problem before us in order then to find the rule that applies.

VI.

It is a question of a contract the existence or validity of which has not been disputed. In the first place, the meaning of some of its clauses and the effect of the terms employed were argued. Later, the meaning having been differently interpreted by each of the Parties, the discussion turned on the execution of the contract and particularly on the currency in which the payment had to be made.

The rules of private international law that must, on principle, be looked for are those rules which refer, on the one hand to the law that applies to contracts, and on the other to methods of payment and to the currency employed in making such payment. As regards the former, there is a universal consensus of opinion as to the will of the Parties being paramount, but in this case, as in many others, the Parties were silent as to the law that applied, and it is not even possible to construe their will. Presumptions must consequently be made use of, and much was said about the law of the place where the contract was made and about the law of the place of its execution. In my opinion, since a contract of adhesion is in question, the law which, generally speaking, should be applied is the law of the borrower.

But this law is only applicable to such questions relating to the contract or to its execution as do not come under the local laws on the grounds of international public policy. If, from this point of view, a consideration of this case were to result in our accepting any particular local law, the question of the construction of the contract, as well as of the meaning and the scope of the terms "gold franc" and "payment in gold", would be immediately covered by a specific rule of that local law.

There are always matters which are outside the will of the Parties and which require the application of imperative and territorial legal provisions. Amongst these matters, according to the almost unanimous opinion of authors, are classed the form, the currency and the method of payment. The Code of

Private International Law adopted at the Sixth Pan-American Conference at Havana and already ratified by the Congress and Government of Brazil, lays down in Article 166 the following rule :

“Those obligations arising from contracts have force of law as between the contracting Parties and should be discharged in accordance with the terms thereof, with the exception of the limitations established by this Code.”

Article 169 says :

“The nature and effect of the various classes of obligations, as well as the extinction thereof, are governed by the law of the obligation in question.”

But Article 170 is careful to add :

“Notwithstanding the provisions of the preceding article, the local law regulates the conditions of payment and the money in which payment shall be made.”

On the other hand, the opinion of French publicists has almost always been based on the same conceptions, and it would be easy to make for this purpose a large number of quotations. This seems to us to be unnecessary at the moment.

In the case before the Court, we must therefore consider French legislation, France being the only country in which payment had to be made in gold francs, since in other countries payment had to be made at the sight rate of exchange on Paris ; and any binding rule laid down on this subject at a time when the contracts of issue began to produce their effects must be conformed to.

VII.

As regards France, the law in force is quite clear and does not require interpretation.

Article 1895 of the French Civil Code runs as follows :

“The obligation resulting from a loan in money is *always simply for the amount in figures* indicated in the contract, and if there has been an increase or diminution of specie before the time of payment, the debtor must return the amount *in figures lent, and must return only this amount in the specie in currency at the time of payment.*”

At the time when the Brazilian loans were issued, Article 1895 of the French Civil Code was in force, as it is at the present time. This article gave to the borrower the right and imposed on him the duty, as regards payments to be made in France, of assuming, at the moment of each payment, the consequences arising from the increase or diminution of the value of the currency, in the one case to his own advantage, in the other to the advantage of his creditors.

This situation in law is a vested right for the borrower and for the holders of bonds and coupons, and cannot be changed by subsequent legislation which had no retroactive effect as regards these loans. France retained the sovereign right of changing the weight and standard of her currency and of making notes of the Bank of France legal or compulsory tender, subject, however, to the specific proviso of not depriving the debtors of the benefits arising under Article 1895 of the Civil Code under the effects and security of which they had contracted.

The law of the holders of the bonds and coupons could not change this state of affairs by specifying at the moment when the currency was modified that this change would not be applicable to the borrower, or, as a general rule, to the cases in which he was concerned.

VIII.

Since a claim by the French Government and the rights of French holders are concerned, we must note that at the time when the loans were issued, from 1909 to 1911, the French franc was absolutely stable and its value in gold could not be questioned. In France there were bank-notes, and they were legal tender; but as these notes must be repaid at par by the Bank of France and as up till then no important differences existed between the gold rate and silver rate, the question of payments in gold or notes that were legal tender had no practical significance.

During the world war a new French law of August 5th, 1914, had freed the Bank of France and the Bank of Algeria from the obligation to return specie for their notes. France certainly had the right, as we have already demonstrated, to

take such a step, and no one thought of opposing this change in the legal tender, by which the notes become a forced currency. But this new monetary situation had to be adopted with all its consequences, and contracts in force must always be interpreted in conformity with Article 1895 of the Civil Code which was in force both then and now. Article 1895 of the Code was framed precisely for these cases. Whether that rule be good or bad in doctrine or in theory, it was the law: *Dura lex, sed lex*. Since ignorance of the law cannot be pleaded, all the holders of bonds or coupons of Brazilian loans must be taken as knowing that, according to the law in France, the obligation resulting from a loan in money is *always* simply for the amount in figures indicated in the contract, and if there has been an increase or diminution of specie before the time of payment, the debtor must return the amount in figures lent, *and must return only this amount in the specie in currency at the time of payment*.

What I have written here is merely a literal copy of Article 1895 of the French Civil Code.

IX.

The opinions of the best known authors have long ago recognized that this rule is one of international public policy. In the first place, a distinction must be drawn between those who wrote before the world war and those who studied the question after 1914. Writers of legal treatises just as much as anyone else, without wanting to and without knowing it, come under the irresistible influence of their surroundings, and the requirements of the national situation are reflected in their thoughts and have a great influence on their teachings. This fact explains the existence in public and private international law of systems and opinions completely corresponding to the requirements and interests at a given moment of a State or of a continent.

In order to avoid this stumbling block, we have quoted pre-war authors in preference to others. And in order not to unduly increase the number of quotations, we have chosen two

writers of the highest authority and belonging to two different States, France and Switzerland, both of which writers however specifically refer to Article 1895 of the Code Napoléon.

DESPAGNET (*Précis de Droit international privé*,
5th ed., Paris, 1909, pages 916-917):

[*Translation.*]

"The payment shall consequently be made in money current at the place where the debt must be discharged, and at the nominal value of the currency at that place. If, during the lapse of time between the date of the contract and the date of payment, the nominal value of the currency has increased or diminished, the debtor profits or suffers thereby, since he has to supply a correspondingly greater or lesser number of coins in that currency at their present nominal value, in order to make up the amount fixed in the contract (Article 1895 Civil Code). *It would moreover be impossible to evade this consequence in a private contract since the establishment of the nominal value of currencies is a rule of public policy.*"

And he adds:

"There is another hypothesis to be foreseen: it may so happen that in the country where payment has to be effected a more or less depreciated paper currency which is compulsory tender may have been substituted for the coinage. *The law establishing the forced currency of paper being one of public policy, the creditors may be compelled to accept this paper money at its nominal value.*"

BROCHER (*Cours de Droit international privé*, Paris,
1882, t. II, p. 242):

Brocher remarks that this Article 1895 belongs to the category of usual rigorous legislative measures which, as regards forced currency of money tokens or of fiduciary securities, can be assimilated thereto.

"Those are measures", he states, "which can only be resorted to by *imposing limitations upon the will of the individual.*"

It should be added that the exceptions set out by these authors in the works referred to cannot be applied to the Franco-Brazilian dispute which has been submitted to the Court for decision.

X.

In this question between France and Brazil, it is useless to refer to the practice of the courts in these countries. In fact, all reference to this source of law and any attempt to allow oneself to be guided thereby should be avoided. Indeed, in accordance with Article VI of the Special Agreement:

“In estimating the weight to be attached to any municipal law of either country which may be applicable to the dispute, the Permanent Court of International Justice shall not be bound by the decisions of the respective courts.”

That means that the Court may and must take into account municipal laws in order to decide the questions submitted to it, but at the same time it must weigh the meaning and scope of such municipal laws in the light of its own particular views without allowing itself to be guided or influenced by the decisions of the national courts of the Parties in this respect.

XI.

By the French law of June 25th, 1928, it was decided that the franc, the French monetary unit, should be constituted by 65.5 milligrams of gold, 900/1000 fine. And the law goes on to say: “This definition shall not apply to international payments which, prior to the promulgation of the present law, may have been validly stipulated in gold francs.”

Why did the law of June 25th, 1928, make this declaration?

It cannot be understood without admitting that it is French law which must control the method of payment. If we suppose that the will of the Parties, in speaking simply of *gold francs*, ensures that payment shall be in gold of the weight and fineness then in force, whatever be the provisions of Article 1895 of the French Civil Code, the rule laid down by the law of June 25th, 1928, which I have just quoted, is useless and incomprehensible.

This new law, then, is undoubtedly a very serious argument from the point of view of the application to these loans of French legislation on methods of payment.

It therefore seems evident that the said law had the purpose of implicitly derogating from Article 1895 of the French Civil Code, to the prejudice of debtors who entered into contracts when that article was in force. It must be emphasized that Article 1895 does not prevent a change of currency. On the contrary, it recognizes this sovereign power of the French Government and it is precisely because the currency may be changed at any time that the article in question was considered necessary and inserted in the Civil Code.

But what cannot be done, to the prejudice of creditors or debtors who have made contracts for payments in France while Article 1895 was in force, is to decree that the currency shall be changed but that the change shall not be enforceable against such creditors or debtors. That is to say, it is impossible for one Party to a convention to change a rule of law to which that convention has been subject from the time of its conclusion.

But there is yet another aspect of the problem which is most important.

The Special Agreement concerning the Brazilian loans *was signed at Rio de Janeiro on August 27th, 1927, and it is inadmissible that one of the Parties, on June 25th, 1928, almost a year later, should be entitled to resolve in its own favour by domestic or national legislation the international question already submitted to the Court, or to invoke this law which it has enacted after the Special Agreement, as an argument for its own case.* It seems to me clear that the second paragraph of the French currency law of June 25th, 1928, must be entirely disregarded in this case.

XII.

The question of gold currency and of its mention in the laws, contracts and bonds referring to these loans loses all its importance once we adopt the legal position that we have developed. If payment is subject to the law of the place where it is made, as concerns the currency in which the debtor must pay, Brazil can only be obliged to deliver gold in the cases where gold currency is legal tender at the date of each payment, at

the place where payment is made, that is to say, at Paris so far as this case is concerned. And Brazil need only repay the amount in figures in the currency in circulation at the time of payment.

And as Paris is the only place where payment in the national currency for the amount of the sum due is to be made, it is useless to raise the question of the French gold franc or theoretical franc. The French franc, and the French franc only, was meant in the documents. Seeing that at the date of the loans the gold franc was legal currency in France, there was nothing to prevent that currency from being expressly mentioned in the bonds. But, as Article 1895 of the Civil Code was in force, all bondholders could and ought to know what was the significance of such a provision, which was necessarily subject, as regards payments to be made in France, to the terms of that article. The opposite view implies that it is sufficient to conclude contracts outside France or to make them under the name of a foreigner to render the "Code Napoléon" inapplicable.

XIII.

On this application of Article 1895 is based the argument concerning the carrying-out of the terms of the loan contracts by means of payments made and accepted in the course of a number of years following the depreciation of French currency. So far as Brazil is concerned, which always used this currency for her payments, this is proof of the meaning attributed by her to the gold clause. The same applies as regards the bondholders. They might from the very first have refused to receive the amount of their bonds and coupons in that depreciated currency as they did subsequently.

XIV.

Regard must also be had to the fact that the bonds and coupons of these loans must be paid to bondholders at other places at the sight rate of exchange on Paris. Exchange rates exist for practical purposes only, and when one buys bills of exchange or cheques on a particular place, one is paid

in the money in circulation at that place. It is for that, and that alone, that exchange rates are quoted. This provision affords yet another argument in favour of the obligatory application of Article 1895 of the French Civil Code.

XV.

When payments are controlled by such a legislation, it is not enough to insert the gold clause to ensure protection against changes of the currency and against the compulsory tender régime. The contracting Parties have the right, and often make use of it, to stipulate that payment shall be made in the currency of some particular country of the same weight and standard as that in circulation at the time of the contract.

They are also entitled to stipulate for indemnities to be paid in the money which is legal tender, if there are changes. They may adopt other precautions to protect themselves from what is known as "agio". If in the case before us the Parties have done nothing in this respect, it is their own fault, and they must accept the consequences of their lack of foresight.

XVI.

To sum up, in accordance with what I have said, the question in the Special Agreement should, in my opinion, be answered as follows:

With regard to the Brazilian Federal Government's 5 % loan of 1909 (Port of Pernambuco), 4 % loan of 1910 and 4 % loan of 1911, the payment of coupons matured and not barred by prescription on August 27th, 1927, and coupons which have matured or shall mature after that date, as also repayment of bonds drawn for redemption but not actually paid which are not barred by prescription on the date of the Court's decision, or of bonds subsequently to be redeemed, must be effected at Paris by remittance to the French bondholders in the French currency which is legal tender, and at the other places agreed upon, in the local currency at the sight rate of exchange on Paris on the day of payment.

(Signed) A. S. DE BUSTAMANTE.